Kestrel Robotics Ltd.

Annual Report 2025

FICTIONAL DOCUMENT - created to demonstrate the Veritas document question-answering system. The company, people and figures are invented.

Contents

1. Letter from the CEO

2. 2025 highlights

3. Business segments

4. Quarterly results

5. Product catalogue

6. Research and development

7. Customer case studies

8. Revenue by region

9. People and policies

10. Sustainability

11. Risk factors

12. Customer support commitments

13. Pricing and volume discounts

14. Appendix C - Warranty claims (scanned)

15. Balance sheet summary

16. Glossary

17. Governance and contacts

Letter from the CEO

2025 was a record year for Kestrel Robotics Ltd.. Revenue grew 18.0% to $412.6M, up from $349.7M in 2024, and net income reached $38.9M. We ended the year with 1,240 employees across four continents.

The launch of the Atlas X2 autonomous mobile robot in March was the defining moment of the year. It is now our best-selling warehouse product and carried us into three new grocery chains.

In September we opened our new engineering headquarters in Pune, India, which will house up to 400 engineers by 2027. Our Medical Robotics segment received regulatory clearance for the Heron Pro in the European Union.

- Mira Okafor, Chief Executive Officer

The leadership team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Field feedback from leadership deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

2025 highlights

Indicator	2025	2024
Revenue	$412.6M	$349.7M
Net income	$38.9M	$29.4M
Gross margin	42.6%	40.9%
R&D spend	$61.2M	$52.3M
Patents filed	57	44
Employees (year end)	1,240	1,065
Robots in the field	21,480	16,920
Customer satisfaction (CSAT)	91%	88%

Field feedback from finance deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

Training programmes for integrators were expanded, with new certification tracks covering safety configuration, fleet orchestration and preventive maintenance.

Management regards these investments as foundational for the next planning cycle and expects them to reduce deployment time and support costs over the medium term.

Business segments

Segment	Revenue 2025	Growth vs 2024
Warehouse Automation	$231.4M	21.0%
Medical Robotics	$118.7M	14.5%
Agricultural Robotics	$62.5M	19.0%
Total	$412.6M	18.0%

Warehouse Automation

Warehouse Automation revenue was $231.4M in 2025, growth of 21.0% on the prior year.

The warehouse automation team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Medical Robotics

Medical Robotics revenue was $118.7M in 2025, growth of 14.5% on the prior year.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Field feedback from medical robotics deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

Agricultural Robotics

Agricultural Robotics revenue was $62.5M in 2025, growth of 19.0% on the prior year.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Field feedback from agricultural robotics deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

Quarterly results

Unaudited quarterly figures, US$ millions.

Quarter	Revenue	Gross margin	Operating income
Q1	$88.9M	41.2%	$6.1M
Q2	$97.4M	42.0%	$9.8M
Q3	$104.6M	42.9%	$12.4M
Q4	$121.7M	43.8%	$16.9M
Full year	$412.6M	42.6%	$45.2M

Field feedback from finance deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

Training programmes for integrators were expanded, with new certification tracks covering safety configuration, fleet orchestration and preventive maintenance.

Management regards these investments as foundational for the next planning cycle and expects them to reduce deployment time and support costs over the medium term.

The finance team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Product catalogue

All products available in 2025. Payload in kilograms, battery runtime in hours, list price in US dollars per unit before volume discounts.

Model	Segment	Type	Payload (kg)	Runtime (h)	List price	Launched
Atlas Lite	Warehouse Automation	AMR	173	8	$56,300	2025
Atlas Max	Warehouse Automation	AMR	141	5	$50,200	2024
Atlas Mini	Warehouse Automation	AMR	199	6	$63,600	2019
Atlas Plus	Warehouse Automation	AMR	224	7	$72,100	2020
Atlas Pro	Warehouse Automation	AMR	116	11	$46,100	2023
Atlas S1	Warehouse Automation	AMR	20	5	$21,000	2019
Atlas S2	Warehouse Automation	AMR	40	5	$28,200	2020
Atlas Ultra	Warehouse Automation	AMR	249	11	$75,000	2021
Atlas X1	Warehouse Automation	AMR	66	8	$34,700	2021
Atlas X2	Warehouse Automation	AMR	90	8	$37,400	2022
Heron Lite	Medical Robotics	Surgical assist	165	6	$59,100	2025
Heron Max	Medical Robotics	Surgical assist	141	4	$53,400	2024
Heron Mini	Medical Robotics	Surgical assist	198	9	$64,200	2019
Heron Plus	Medical Robotics	Surgical assist	222	10	$70,800	2020
Heron Pro	Medical Robotics	Surgical assist	124	9	$45,800	2023
Heron S1	Medical Robotics	Surgical assist	18	4	$22,000	2019
Heron S2	Medical Robotics	Surgical assist	42	7	$27,400	2020
Heron Ultra	Medical Robotics	Surgical assist	244	9	$75,800	2021
Heron X1	Medical Robotics	Surgical assist	67	6	$34,600	2021
Heron X2	Medical Robotics	Surgical assist	94	8	$37,800	2022
Sparrow Lite	Agricultural Robotics	Field rover	165	5	$59,500	2025
Sparrow Max	Agricultural Robotics	Field rover	142	7	$52,400	2024
Sparrow Mini	Agricultural Robotics	Field rover	199	8	$64,400	2019
Sparrow Plus	Agricultural Robotics	Field rover	220	10	$72,200	2020
Sparrow Pro	Agricultural Robotics	Field rover	121	9	$45,600	2023
Sparrow S1	Agricultural Robotics	Field rover	18	4	$22,100	2019
Sparrow S2	Agricultural Robotics	Field rover	44	8	$26,800	2020
Sparrow Ultra	Agricultural Robotics	Field rover	247	8	$75,200	2021
Sparrow X1	Agricultural Robotics	Field rover	72	8	$34,800	2021
Sparrow X2	Agricultural Robotics	Field rover	91	7	$40,400	2022
Talon Lite	Warehouse Automation	Picking arm	168	7	$56,800	2025
Talon Max	Warehouse Automation	Picking arm	141	7	$50,000	2024
Talon Mini	Warehouse Automation	Picking arm	193	9	$64,800	2019
Talon Plus	Warehouse Automation	Picking arm	222	7	$69,500	2020
Talon Pro	Warehouse Automation	Picking arm	120	9	$47,400	2023
Talon S1	Warehouse Automation	Picking arm	19	7	$18,900	2019
Talon S2	Warehouse Automation	Picking arm	40	7	$28,400	2020
Talon Ultra	Warehouse Automation	Picking arm	247	11	$78,200	2021

Model	Segment	Type	Payload (kg)	Runtime (h)	List price	Launched
Talon X1	Warehouse Automation	Picking arm	72	8	$33,400	2021
Talon X2	Warehouse Automation	Picking arm	95	7	$40,200	2022

Research and development

R&D spending was $61.2M in 2025, equal to 14.8% of revenue. We filed 57 patents, most of them in grasp planning and fleet coordination. Our three research labs are in Boston, Munich and Pune.

Training programmes for integrators were expanded, with new certification tracks covering safety configuration, fleet orchestration and preventive maintenance.

Management regards these investments as foundational for the next planning cycle and expects them to reduce deployment time and support costs over the medium term.

The research team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Field feedback from research deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

Customer case studies

FreshMart (grocery, US)

FreshMart deployed 120 Atlas X2 robots across three distribution centres and cut average order picking time by 35% within six months.

St. Aurel Hospital (Switzerland)

St. Aurel Hospital performed 410 procedures with Heron Pro surgical assist arms in 2025, its first full year of use.

Verdant Farms (Brazil)

Verdant Farms runs a fleet of 64 Sparrow field rovers for weeding, reducing herbicide use by 28% compared with 2024.

Northgate Logistics (UK)

Northgate Logistics added 45 Talon picking arms and now processes 18,000 parcels per hour at peak.

Revenue by region

Region	Revenue 2025	Share
North America	$171.2M	41.5%
Europe	$118.3M	28.7%
Asia-Pacific	$98.4M	23.8%
Latin America	$24.7M	6.0%

Management regards these investments as foundational for the next planning cycle and expects them to reduce deployment time and support costs over the medium term.

The regional sales team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Field feedback from regional sales deployments fed directly into firmware releases, which moved from a quarterly to a monthly cadence in the second half of the year.

People and policies

Function	Employees
Engineering	512
Manufacturing	318
Sales & Marketing	176
Customer Support	121
Operations & Finance	79
People & Legal	34
Total	1,240

Policies

Every employee receives 24 days of paid annual leave plus public holidays. Parental leave is 26 weeks at full pay for the primary caregiver and 8 weeks for the secondary caregiver. Office-based staff may work remotely up to 2 days per week. The annual learning budget is $2,000 per person.

Sustainability

Emissions (tCO2e)	2025	2024
Scope 1	3,120	3,480
Scope 2 (market-based)	4,870	6,210
Scope 3	41,600	44,900

Renewable electricity covered 64% of our consumption in 2025. Our target is 100% renewable electricity by 2028 and a 50% cut in Scope 1 and 2 emissions by 2030 against 2022.

Management regards these investments as foundational for the next planning cycle and expects them to reduce deployment time and support costs over the medium term.

The sustainability team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.

Risk factors

Component supply

Shortages of lidar units or battery cells could delay deliveries.

Regulation

Medical products depend on clearances that can take longer than planned.

Customer concentration

Our five largest customers made up 31% of 2025 revenue.

Currency

About 45% of revenue is earned outside the United States.

Cybersecurity

Fleet software is a target; a breach could stop customer operations.

Customer support commitments

Service level agreement for customers on the Premier support plan.

Priority	First response	Target resolution	Coverage
P1 - production stopped	1 hour	8 hours	24/7
P2 - degraded	4 hours	2 business days	24/7
P3 - minor issue	1 business day	5 business days	Business hours
P4 - question	2 business days	10 business days	Business hours

Customers on the Standard plan receive the same first-response targets during business hours only. Spare parts for P1 incidents ship within 24 hours from regional depots.

Pricing and volume discounts

Volume discounts apply to the list price of robots ordered in a single purchase order.

Units in one order - at least	But not more than	Discount
1	4	0%
5	19	4%
20	49	7.5%
50	99	10%
100	249	12.5%
250	and above	15%

Software subscriptions are billed per robot per month at $149 for Fleet Basic and $299 for Fleet Pro, and are not discounted.

Appendix C - Warranty Claims by Product Family, 2025

Kestrel Robotics Ltd. - internal quality report (scanned copy)

Product family	Units shipped	Claims	Top failure cause
Atlas	4,210	97	Battery connector
Heron	612	9	Arm calibration drift
Sparrow	1,380	58	Wheel hub seal
Talon	2,045	41	Gripper sensor

Total: 8,247 units shipped, 205 warranty claims.

Claim rate is claims divided by units shipped in the same year.

Balance sheet summary

As at 31 December, US$ millions.

Item	2025	2024
Cash and equivalents	96.4	71.8
Receivables	74.9	63.2
Inventory	58.1	52.7
Property, plant and equipment	132.6	118.0
Total assets	401.3	352.5
Borrowings	64.0	72.5
Total liabilities	168.9	160.4
Shareholders' equity	232.4	192.1

Training programmes for integrators were expanded, with new certification tracks covering safety configuration, fleet orchestration and preventive maintenance.

Management regards these investments as foundational for the next planning cycle and expects them to reduce deployment time and support costs over the medium term.

The treasury team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Glossary

AMR - Autonomous mobile robot: navigates without fixed tracks.

ARR - Annual recurring revenue from software and service contracts.

MTBF - Mean time between failures, in operating hours.

Payload - Maximum load a robot carries or lifts in normal operation.

SLA - Service level agreement: committed response and resolution times.

Scope 3 - Indirect emissions in the value chain, e.g. purchased parts and shipping.

Governance and contacts

Name	Role
Mira Okafor	Chief Executive Officer
Daniel Reyes	Chief Financial Officer
Anika Shah	Chief Technology Officer
Lars Vinter	Chair of the Board

The Board met 9 times in 2025. Investor questions: investors@kestrel.example (fictional).

The governance team worked closely with customers throughout the year, running quarterly reviews and publishing roadmap updates so that buyers could plan deployments with confidence.

Supplier diversification continued: no single supplier accounts for more than a fifth of component spend, and dual sourcing is now in place for motors, lidar units and battery cells.